

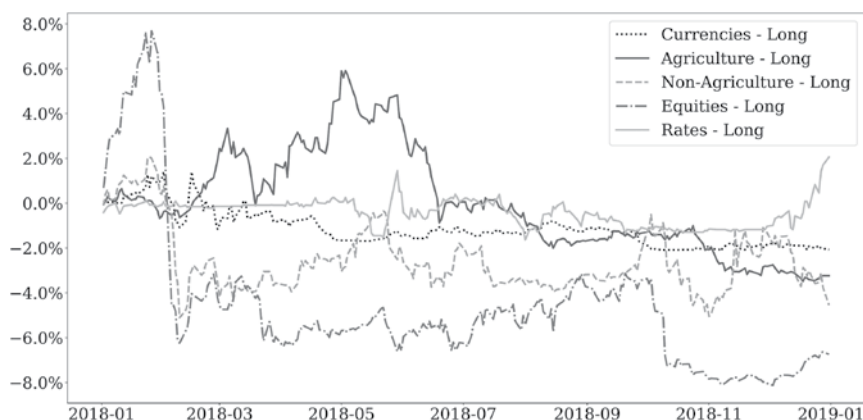


FIGURE 6.101 Long sector performance 2018.

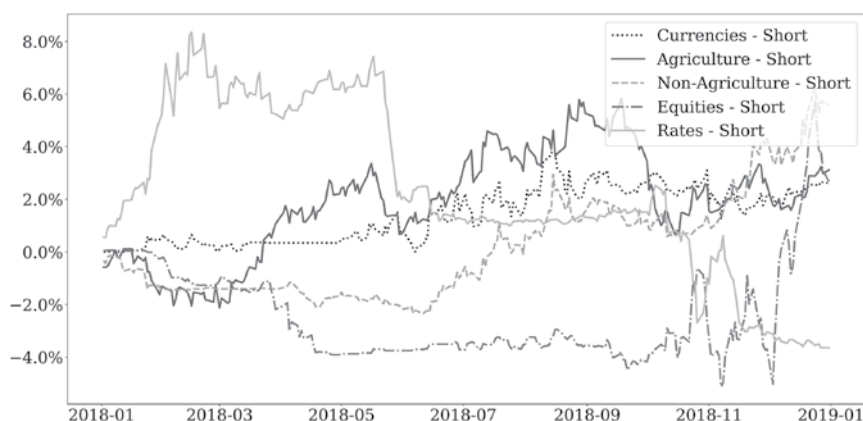


FIGURE 6.102 Short sector performance 2018.

The word crash is incredibly over-used as a descriptor of market pull-backs. What happened to the stock market in January of 2018 certainly felt like a crash at the time, and it was of course described as such in the media. A few years later, everyone struggles to remember what happened, or even that something did happen. Still, it was certainly a couple of very painful weeks for trend followers. Take a look at the price movement in Figure 6.103. We had an amazing bull trend in 2017, and then it really started accelerating as we entered 2018, building up some serious profits. And just then, when you least expected it, the markets just turned on a dime and you gave up several months' worth of performance in a matter of days. Easy come, easy go. These situations, painful as they are, represent the cost of doing business in this industry.